

1-4 Business Transactions and the Accounting Equation

Paying a monthly bill, such as a telephone bill of \$168, affects a business's financial condition because it now has less cash on hand. Such an economic event or condition that directly changes an entity's financial condition or its results of operations is a

Objective 4 - Describe and illustrate how business transactions can be recorded in terms of the resulting change in the elements of the accounting equation.

business transaction (An economic event or condition that directly changes an entity's financial condition or directly affects its results of operations.)

. For example, purchasing land for \$50,000 is a business transaction. In contrast, a change in a business's credit rating does not directly affect cash or any other asset, liability, or stockholders' equity amount.

Business Insight

The Accounting Equation

The accounting equation serves as the basic foundation for the accounting systems of all companies. The accounting equation is used by the smallest business, such as the local convenience store, to the largest business, such as **The Coca-Cola Company (KO)**. Some examples taken from recent financial reports of well-known companies follow:

Company	Assets	=	Liabilities	+	Stockholders' Equity
Alphabet Inc. (GOOG)	\$232,792	=	\$55,164	+	\$177,628
The Coca-Cola Company (KO)	\$83,216	=	\$64,158	+	\$19,058
DuPont (DD)	\$187,855	=	\$93,563	+	\$94,292
eBay (EBAY)	\$22,819	=	\$16,538	+	\$6,281
Ford Motor Company (F)	\$256,540	=	\$220,608	+	\$35,932
Microsoft Corporation (MSFT)	\$286,556	=	\$184,226	+	\$102,330

Company	Assets	=	Liabilities	+	Stockholders' Equity
Southwest Airlines Co. (LUV)	\$25,895	=	\$16,063	+	\$9,832
Walmart Inc. (WMT)	\$219,295	=	\$146,799	+	\$72,496

All business transactions can be stated in terms of changes in the elements of the accounting equation. How business transactions affect the accounting equation can be illustrated by using some typical transactions. As a basis for illustration, a business organized by Chris Clark is used.

Note

All business transactions can be stated in terms of changes in the elements of the accounting equation.

Assume that on November 1, 20Y3, Chris Clark organizes a corporation that will be known as **NetSolutions**. The first phase of Chris's business plan is to operate NetSolutions as a service business assisting individuals and small businesses in developing web pages and installing computer software. Chris expects this initial phase of the business to last one to two years. During this period, Chris plans on gathering information on the software and hardware needs of customers. During the second phase of the business plan, Chris plans to expand NetSolutions into a personalized retailer of software and hardware for individuals and small businesses.

Each transaction during NetSolutions' first month of operations is described in the following paragraphs. The effect of each transaction on the accounting equation is then shown.

Transaction A

Nov. 1, 20Y3 Chris Clark deposited \$25,000 in a bank account in the name of NetSolutions in exchange for shares of common stock in the corporation.

A corporation issues

common stock (Certificates issued by a corporation to investors as proof of their ownership rights; an account representing the ownership rights of investors in a corporation; a class of stock issued by a corporation that bears no preference rights.)

to investors as proof of their ownership rights.

This transaction increases Cash under Assets (on the left side of the equation) by \$25,000.

To balance the equation, Common Stock under Stockholders' Equity (on the right side of the equation) increases by the same amount.

The effect of this transaction on NetSolutions' accounting equation is as follows:

<u>Assets</u>	=	<u>Stockholders' Equity</u>
Cash		Common Stock
a. 25,000	=	25,000

The preceding accounting equation is only for the business, NetSolutions. Under the business entity assumption, Chris's personal assets, such as a home or personal bank account, and personal liabilities are excluded from the equation.

Transaction B

Nov. 5, 20Y3

NetSolutions paid \$20,000 for the purchase of land as a future building site.

The land is located in a business park with access to transportation facilities. Chris Clark plans to rent office space and equipment during the first phase of the business plan. During the second phase, Chris plans to build an office and a warehouse for NetSolutions on the land.

The purchase of the land changes the makeup of the assets, but it does not change the total assets. The items in the equation prior to this transaction and the effect of the transaction follow. The new amounts are called *balances*.

<u>Assets</u>			=	<u>Stockholders' Equity</u>
Cash	+	Land		Common Stock
Bal. 25,000			=	25,000
b. -20,000		+20,000		
Bal. 5,000		20,000		25,000
25,000			=	25,000

Transaction C

Nov. 10, 20Y3

NetSolutions purchased supplies for \$1,350 and agreed to pay the supplier in the near future.

You have probably used a credit card to buy clothing or other merchandise. In this type of transaction, you received clothing for a promise to pay your credit card bill in the future. That is, you received an asset and incurred a liability to pay a future bill. NetSolutions entered into a similar transaction by purchasing supplies for \$1,350 and agreeing to pay the supplier in the near future. This type of transaction is called a purchase *on account* and is often described as follows: *Purchased supplies on account, \$1,350.*

The liability created by a purchase on account is called an **account payable** (The liability created by a purchase on account.). Items such as supplies that will be used in the business in the future are called **prepaid expenses** (Assets created by making advanced payments for expense items, such as insurance premiums or supplies, that will be used in the business in the future.), which are assets. Thus, the effect of this transaction is to increase assets (Supplies) and liabilities (Accounts Payable) by \$1,350, as follows:

Assets			=	Liabilities + Stockholders' Equity	
Cash	+ Supplies	+ Land		Accounts Payable	+ Common Stock
Bal. 5,000		20,000	=		25,000
c.	+1,350			+1,350	
Bal. 5,000	1,350	20,000		1,350	25,000
26,350			=	26,350	

Transaction D

Nov. 18, 20Y3 NetSolutions received cash of \$7,500 for providing services to customers.

You may have earned money by painting houses or mowing lawns. If so, you received money for rendering services to a customer. Likewise, a business earns money by selling goods or services to its customers. This amount is called revenue.

During its first month of operations, NetSolutions received cash of \$7,500 for providing services to customers. The receipt of cash increases NetSolutions' assets and also increases stockholders' equity in the business. The revenues of \$7,500 are recorded in a Fees Earned column to the right of Common Stock. The effect of this transaction is to increase Cash and Fees Earned by \$7,500, as follows:

Assets			=	Liabilities + Stockholders' Equity		
Cash	+ Supplies	+ Land		Accounts Payable	+ Common Stock	+ Fees Earned
Bal. 5,000	1,350	20,000	=	1,350	25,000	
d. +7,500						+7,500

$$\begin{array}{ccccccc} \text{Bal.} & \overline{12,500} & & \overline{1,350} & & \overline{20,000} & \\ & \underbrace{\hspace{1.5cm}} & & \underbrace{\hspace{1.5cm}} & & \underbrace{\hspace{1.5cm}} & \\ & 33,850 & = & & & 33,850 & \end{array}$$

Different terms are used for the various types of revenues. As illustrated for NetSolutions, revenue from providing services is recorded as **fees earned** ([Revenue from providing services.](#)) . Revenue from the sale of merchandise is recorded as

sales ([How revenue from the sale of merchandise is recorded; the total amount charged customers for merchandise sold, including cash sales and sales on account.](#))

. Other examples of revenue include rent, which is recorded as **rent revenue** ([Earnings from property that is leased to others for use.](#)) , and interest, which is recorded as **interest revenue** ([Earnings received for interest.](#)) .

Instead of receiving cash at the time services are provided or goods are sold, a business may accept payment at a later date. Such revenues are described as *fees earned on account* or *sales on account*. For example, if NetSolutions had provided services on account instead of for cash, transaction (d) would have been described as follows: *Fees earned on account, \$7,500*.

In such cases, the firm has an asset, called an **account receivable** ([An asset, which is a claim against the customer created by selling merchandise or services on credit.](#))

, which is a claim against the customer. The effect of the transaction increases Accounts Receivable and Fees Earned. When customers pay their accounts, Cash increases and Accounts Receivable decreases.

Business Insight

Round-Tripping

Accounting principles require that a transaction have commercial substance. *Commercial substance* means that the transaction has an economic impact on the entity. An example of a transaction lacking commercial substance is round-tripping. Round-tripping is a situation whereby a company “sells” goods and services to another company and then, under a prearranged agreement, the customer resells the exact same goods and services back to the original company. Round-tripping has been used by companies to artificially inflate their sales. However, such agreements do not have commercial substance, since there is no economic change to either company after the round-trip. Thus, round-tripped sales are not transactions from an accounting perspective.

Transaction E

Nov. 30, 20Y3 NetSolutions paid the following expenses during the month: wages, \$2,125; rent, \$800; utilities, \$450; and miscellaneous, \$275.

During the month, NetSolutions spent cash or used up other assets in earning revenue. Assets used in this process of earning revenue are called expenses. Expenses include supplies used and payments for employee wages, utilities, and other services.

NetSolutions paid the following expenses during the month: wages, \$2,125; rent, \$800; utilities, \$450; and miscellaneous, \$275. Miscellaneous expenses include small amounts paid for such items as postage, coffee, and newspapers. The effect of expenses is the opposite of revenues in that expenses reduce assets and stockholders' equity. Like fees earned, the expenses are recorded in columns to the right of Common Stock. However, since expenses reduce stockholders' equity, the expenses are entered as negative amounts. The effect of this transaction is as follows:

Assets			=	Liabilities +		Stockholders' Equity					
Cash	+ Supplies	+ Land	=	Accounts Payable	+ Common Stock	+ Fees Earned	- Wages Exp.	- Rent Exp.	- Utilities Exp.	- Misc. Exp.	
Bal. 12,500	1,350	20,000	=	1,350	25,000	7,500					
e. -3,650							-2,125	-800	-450	-275	
Bal. 8,850	1,350	20,000	=	1,350	25,000	7,500	-2,125	-800	-450	-275	
30,200			=	30,200							

Businesses usually record each revenue and expense transaction as it occurs. However, to simplify, NetSolutions' revenues and expenses are summarized for the month in transactions (d) and (e).

Transaction F

Nov. 30, 20Y3 NetSolutions paid creditors on account, \$950.

When you pay your monthly credit card bill, you decrease the cash and decrease the amount you owe to the credit card company. Likewise, when NetSolutions paid \$950 to creditors during the month, it reduced assets and liabilities, as follows:

Assets			=	Liabilities +		Stockholders' Equity					
Cash	+ Supplies	+ Land	=	Accounts Payable	+ Common Stock	+ Fees Earned	- Wages Exp.	- Rent Exp.	- Utilities Exp.	- Misc. Exp.	
Bal. 8,850	1,350	20,000	=	1,350	25,000	7,500	-2,125	-800	-450	-275	
f. -950				-950							
Bal. 7,900	1,350	20,000	=	400	25,000	7,500	-2,125	-800	-450	-275	

Paying an amount on account is different from paying an expense. The paying of an expense reduces stockholders' equity, as illustrated in transaction (e). Paying an amount on account reduces the amount owed on a liability.

Nov. 30, 20Y3 Chris Clark determined that the cost of supplies on hand at the end of the month was \$550.

Assets			=	Liabilities + Stockholders' Equity							
Cash	+ Supplies	+ Land		Accounts Payable	+ Common Stock	+ Fees Earned	- Wages Exp.	- Rent Exp.	Supplies Exp.	- Utilities Exp.	- Misc. Exp.
Bal. 7,900	1,350	20,000	=	400	25,000	7,500	-2,125	-800	-800	-450	-275
g.	-800								-800		
Bal. 7,900	550	20,000	=	400	25,000	7,500	-2,125	-800	-800	-450	-275
28,450			=	28,450							

Nov. 30, 20Y3 Paid dividends, \$2,000.

are distributions of earnings to stockholders. The payment of dividends decreases cash and stockholders' equity. Like expenses, dividends are recorded in a separate column to the right of Common Stock as a negative amount. The effect of the payment of dividends of \$2,000 is as follows:

Assets				=	Liabilities + Stockholders' Equity																		
	Cash	+	Supp.	+	Land	=	Accounts Payable	+	Common Stock	-	Dividends	+	Fees Earned	-	Wages Exp.	-	Rent Exp.	-	Supplies Exp.	-	Utilities Exp.	-	Misc. Exp.
Bal.	7,900		550		20,000	=	400		25,000				7,500		-2,125		-800		-800		-450		-275
h.	-2,000					=					-2,000												
Bal.	5,900		550		20,000	=	400		25,000		-2,000		7,500		-2,125		-800		-800		-450		-275
	<u>26,450</u>					=	<u>26,450</u>																

Dividends should not be confused with expenses. Dividends do not represent assets or services used in the process of earning revenues. Instead, dividends are considered a distribution of earnings to stockholders.

Chapter 1: Introduction to Accounting and Business: 1-4 Business Transactions and the Accounting Equation

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